Measure I

Town of Windsor

Measure Question

Simple Majority Needed to Pass

To provide funding for the Town of Windsor to maintain essential local services, such as repairing potholes and maintaining streets; neighborhood police patrols / emergency response / traffic enforcement; preserving parks / community events; disaster preparedness and fire prevention — removing brush / flammable fuels, and for general government use; shall the measure establishing a 1% sales tax, providing approximately $5,700,000 annually until ended by voters, requiring independent audits, citizen oversight, and all funds remaining in Windsor under local control, be adopted?

What Your Vote Means

YES	NO
A “Yes” vote is a vote to approve a one percent (1%) sales tax in Windsor.	A “No” vote is a vote against the tax.

For and Against Measure I

FOR	AGAINST
WINDSOR TOWN COUNCIL Rosa Reynoza, Mayor	CONCERNED WINDSOR CITIZENS John Leyba, Chairperson
WINDSOR TOWN COUNCIL Sam Salmon, Town Councilmember	CONCERNED WINDSOR CITIZENS John Broughton, Treasurer
Michael Raasch Retired Windsor Police Chief	Mary Ann Bainbridge-Krause Commissioner Senior Citizens Advisory
Guadalupe Navarro Latina Community Leader	Betsy Mallace Windsor Resident / Advocate
Jim Curry Windsor Chamber Past Chair	Bob Kruse Vietnam Veteran/Windsor Resident

Town Attorney's Impartial Analysis of Measure I

The Town Council of the Town of Windsor has placed Measure I on the November 3, 2026, ballot to ask the Town's voters to approve a one percent (1%) local transactions and use (sales) tax. If approved, the tax would add $1 to the price of an item that costs $100.

Currently, the tax on retail sales in Windsor is 9.25% of the purchase price. Of the 9.25%, the Town directly receives 1%, with the remaining 8.25% going to the State, Sonoma County, the Sonoma County Transportation Authority, and SMART. The Town is the only municipality in Sonoma County that has not previously implemented a local transactions and use tax.

Measure I would authorize a 1% transactions and use tax, which would increase the total sales tax rate in Windsor to 10.25% (subject to the adoption of other countywide taxes). The Town's portion would increase from 1% to 2%.

According to the Council Resolution placing Measure I on the ballot and the report prepared by Town staff, the tax would provide approximately $5.7 million annually for the Town's general fund, which could be used for services such as repairing potholes and maintaining streets, neighborhood police patrols, emergency response, traffic enforcement, preserving parks, community events, disaster preparedness, and fire prevention. Because Measure I does not limit the use of tax revenue, it is a "general tax," not a "special tax" that restricts the funds to specific purposes. Therefore, the Town may use the funds for any legitimate governmental purpose.

The Measure requires the establishment of an independent Citizens' Oversight Commission that will review and report on the revenue and expenditure of funds collected under the tax "to ensure compliance with the public safety, infrastructure, and local service priorities approved by voters." The Measure also requires the Town's independent auditors to prepare a publicly available report annually on the revenue and expenditure of funds generated from the tax.

If Measure I is approved, the tax would continue until ended by Town of Windsor voters.

Like other sales taxes, retailers collect the tax at the time of sale and remit the funds to the California Department of Tax and Fee Administration ("CDTFA"), which administers the tax. The proposed tax would be collected at the same time and in the same manner as existing sales taxes. The CDTFA then transmits the funds collected to the Town.

A "Yes" vote is a vote to approve a one percent (1%) sales tax in Windsor. A "No" vote is a vote against the tax. Measure I will pass if it receives a simple majority of "Yes" votes.

The above statement is an impartial analysis of Measure I. If you desire a copy of the Ordinance or Measure, please call the Town Clerk at (707) 838-5315, and a copy will be mailed at no cost to you.

DATED: August 14, 2026

/s/Jose M. Sanchez
Town Attorney

Continue to next page for arguments

Local Ballot Measure: I

Arguments and rebuttals are the opinions of the authors. They are printed exactly as submitted, including errors.

Argument in Favor of Measure I

Vote Yes on I — it starts with Windsor and it stays in Windsor.

Windsor is known for its safe neighborhoods, reliable emergency response, well-maintained parks, and outstanding quality of life. Measure I is needed to protect these essential local services by providing stable, locally-controlled funding to keep our town strong.

Measure I provides dedicated local funding that will stay here in Windsor and that the State cannot touch.

While costs to provide essential services have increased, local funding has not, placing a significant strain on public safety, road repair, emergency preparedness, wildfire prevention, and more. Without a local funding solution, deep cuts are coming.

We know we cannot rely on the State or Federal Government to help Windsor. If we want to protect what makes our Town special, we must act locally. Yet, Windsor is the only city in Sonoma County without its own dedicated local sales tax, meaning most tax dollars go elsewhere.

Windsor has already exercised strong fiscal discipline with the County's lowest tax rate. Over the past two years, the Town cut $6,000,000 in operational costs, reduced police positions, held vacancies open, and deferred critical road repairs.

Without Measure I, further cuts will come – fewer police officers, slower emergency response times, and deteriorating streets.

Vote Yes on Measure I: Protect neighborhood police patrols; Maintain rapid 911 emergency response times; Reduce wildfire risk; Repair streets and fix potholes; Protect local property values.

It Stays in Windsor. Local Control: 100% of Measure I stays in Windsor under local control; Visitor Contributions: Out-of-town visitors pay their fair share; Essential Purchases Exempt: Groceries, prescription medications, utilities, and more are tax-exempt; Strict Accountability: Requires annual independent audits, public reports, and a Citizens' Oversight Committee.

Protecting Windsor starts with us. It starts with Measure I.

Please join us in voting Yes.

WINDSOR TOWN COUNCIL
/s/ Rosa Reynoza, Mayor

WINDSOR TOWN COUNCIL
/s/ Sam Salmon, Town Councilmember

/s/ Michael Raasch
Retired Windsor Police Chief

/s/ Guadalupe Navarro
Latina Community Leader

/s/ Jim Curry
Windsor Chamber Past Chair

Rebuttal to Argument in Favor of Measure I

Proponents argue that without Measure I, deep cuts are coming. But why are essential services listed first to be cut, when the Town of Windsor has failed to provide a detailed cost and revenue review? They spent nearly a year selling the community on the sales tax when other reforms could have been implemented. Instead, management proposes service cuts to protect themselves. The Town of Windsor has already reduced police staffing, deferred road maintenance, and tapped reserves, yet continues to refuse management restructuring. Now they want a bailout.

Ignore their scare tactics: Windsor's budget problems won't affect emergency medical response from the Sonoma County Fire District (SCFD). That's funded separately. SCFD and Police split 911 costs. Our general fund dollars should support police patrolling streets and workers mowing weeds, not management PowerPoints.

Proponents promise local control, but the town council already controls the 1% of current sales taxes dedicated to the town. As for oversight, the new committee is a toothless charade, overseeing only a slice of the total budget.

Measure I is a general tax. The ordinance admits the money "can be used for any legitimate governmental purpose," so the Town can spend it on pay raises, bigger benefits, or excessive management staffing. Nothing forces Windsor to fix its spending problems, so we could face the same deficits again, just like neighboring cities that raised taxes multiple times. Measure I is a blank check, with no time limit.

Don't raise our sales tax. Vote No on Measure I.

www.ConcernedWindsorCitizensCA.org

CONCERNED WINDSOR CITIZENS
/s/ John Leyba, Chairperson

CONCERNED WINDSOR CITIZENS
/s/ John Broughton, Treasurer

/s/ Mary Ann Bainbridge-Krause
Commissioner Senior Citizens Advisory

/s/ Betsy Mallace
Windsor Resident / Advocate

/s/ Bob Kruse
Vietnam Veteran/Windsor Resident

Local Ballot Measure: I

Arguments and rebuttals are the opinions of the authors. They are printed exactly as submitted, including errors.

Argument Against Measure I

The Town of Windsor has a spending problem, not a revenue problem. Since 2018, full-time positions grew more than 10% while Windsor's population dropped 8%. Meanwhile, the total of the Town's two largest revenue sources, property and sales taxes, grew nearly 4% annually, exceeding inflation.

Town management is bloated. More than one-third of the Town's full-time positions are supervisory, with many supervising two or fewer full-time employees. The Town should combine management positions and streamline service delivery. For example, why does HR need two supervisors to oversee three staff? Why do we have a full-time recruiter during a hiring freeze?

This sales tax increase isn't for new services or facilities. It's to preserve too much management, avoid accountability, and maintain the status quo. The Town's largest expense is full-time staff, but the Town won't restructure unless Measure I fails.

Working families and low-income seniors are hit hardest by sales taxes, which apply to almost everything we buy in stores or online: clothes, school supplies, appliances, toys, pet supplies, gasoline, cars, etc. Buying everyday items gets harder and leaves less for savings and emergencies.

The Town of Windsor has not been fiscally responsible with our tax dollars. In 2021, it was warned that spending would exceed revenues if nothing changed. The response? Add positions while approving increases to salary, benefits, and pensions for years until last year, when they postponed over $5 million of major maintenance and road improvements.

Now, the Town Council is asking taxpayers to fix the Town's spending problem by raising your sales tax rate. Families have to "tighten their belts" to live within their means. The Town should do the same.

Vote No on Measure I.

Learn more at www.ConcernedWindsorCitizensCA.org

CONCERNED WINDSOR CITIZENS
/s/ John Leyba, Chairperson

CONCERNED WINDSOR CITIZENS
/s/ John Broughton, Treasurer

/s/ Mary Ann Bainbridge-Krause
Commissioner Senior Citizens Advisory

/s/ Betsy Mallace
Windsor Resident / Advocate

/s/ Bob Kruse
Vietnam Veteran/Windsor Resident

Rebuttal to Argument Against Measure I

The argument against Measure I is based on a misleading premise: Windsor cannot simply "cut" its way out of a structural funding shortfall while maintaining public safety and other essential services residents expect and deserve. Opponents want further cuts, but offer no alternatives to address rising service demands.

Fact: Windsor has already made significant budget cuts, leaving nine positions vacant and eliminating three police officer positions. The funding shortfall is driven by rising costs for public safety, aging infrastructure, required insurance and state-mandated programs -- not excessive administrative funding.

Fact: Windsor already does more with less -- ranking lowest among all Sonoma County cities in General Fund revenue per resident.

Fact: Measure I would add just $1 on a $100 taxable purchase. Essential items, including groceries, utilities, Wi-Fi, prescription medicine, health services, diapers, are exempt.

Fact: Measure I is critically needed to protect public safety, emergency response, disaster preparedness, keep parks safe and clean, and address deteriorating roads.

Fact: 100% of Measure I funds stay in Windsor to protect our quality of life. State, county, and federal governments cannot touch them.

Fact: Measure I is fiscally responsible, requiring citizens' oversight and annual independent audits.

The choice isn't between "cutting waste" and a local funding measure. Windsor has already cut.

Without Measure I, the choice is whether we maintain public safety and emergency response, repair streets, protect parks, and preserve quality of life in Windsor -- or cut even deeper.

Join public safety, small business owners, longtime residents, community leaders: Vote Yes on Measure I.

/s/ Tanya Potter
Windsor Vice Mayor

/s/ JB Leep
Council Member Windsor

/s/ Michael LeComte
Local Business Owner

/s/ Donna Legge
Retired Parks Recreation Director

/s/ Deborah Doyle
Past Chair Library Commission

Local Ballot Measure: I

Full Text of Measure I

ORDINANCE NO.

AN ORDINANCE OF THE TOWN OF WINDSOR ADDING CHAPTER 6 TO TITLE II OF THE WINDSOR MUNICIPAL CODE, ESTABLISHING A ONE PERCENT (1%) GENERAL TRANSACTIONS AND USE TAX, TO BE ADMINISTERED BY THE CALIFORNIA DEPARTMENT OF TAX AND FEE ADMINISTRATION, SUBJECT TO APPROVAL BY THE VOTERS AT THE NOVEMBER 3, 2026 ELECTION

WHEREAS, the Town of Windsor ("Town") is a tight-knit community deeply committed to providing exceptional public safety, infrastructure maintenance, family-friendly events, and essential municipal services that define its unique small-town charm and high quality of life; and

WHEREAS, the Town has long demonstrated strong fiscal responsibility, operating as the only municipality in Sonoma County that has not previously implemented a local transactions and use tax, thereby maintaining the lowest sales tax rate in the region at 9.25%; and

WHEREAS, Windsor families and visitors routinely make purchases in neighboring cities that already impose local sales taxes, meaning local dollars are actively leaving the community and investing in the infrastructure and services of other municipalities instead of Windsor; and

WHEREAS, the Town faces growing long-term structural budget pressures driven by high inflation, rising insurance premiums, stagnant revenue growth, and costly unfunded state mandates, which collectively cause the ongoing costs of essential services to exceed the Town's recurring revenues; and

WHEREAS, to absorb these expanding cost pressures and balance its budget, the Town has already enacted aggressive fiscal stewardship measures, including approximately $6 million in operational reductions over the past two years, reducing three police department positions, holding staff vacancies open, and deferring millions of dollars in road, building, and park maintenance infrastructure; and

WHEREAS, despite these cost-cutting measures, the Town's adopted 2025–27 budget requires the unsustainable depletion of $8 million in one-time reserves to temporarily preserve remaining core service levels; and

WHEREAS, independent fiscal analysis projects that without a new, stable, and ongoing stream of locally controlled revenue, the Town faces an annual General Fund deficit of $4 to $5 million beginning in the Fiscal Year 2027–28 cycle, a path that will exhaust all remaining Town reserves by 2029; and

WHEREAS, the absence of new revenue would compel the Town to consider deeper, severe reductions to operations, risking fewer police officers, slower emergency response times, further deteriorating road conditions, potential park closures, and the elimination of youth, senior, and community recreation programs; and

WHEREAS, the enactment of a 1% local sales tax is a fiscally responsible solution that would generate an estimated $5.7 million annually in reliable, locally controlled funding; and

WHEREAS, a local sales tax ensures that visitors and commuters who utilize Windsor's streets, public safety resources, and amenities share the financial burden of maintaining them, while essential everyday items such as groceries, prescription medications, utilities, diapers, and baby formula remain strictly exempt from the tax under California law; and

WHEREAS, one hundred percent (100%) of the revenue generated by a 1% local tax would remain in Windsor under strict local control to fund public safety staffing, street paving, and community priorities, double the Town's share of sales tax revenue retained from local purchases, and protect the funds from being seized or redirected by the State or County; and

WHEREAS, the Town is dedicated to the highest standards of transparency and fiscal accountability, ensuring that any revenue generated by this measure would be subject to a transparent public budgeting process, regular independent annual audits, and review by a Citizens' Oversight Committee; and

WHEREAS, the Town is authorized to levy a Transactions and Use Tax ("Sales Tax") for general purposes pursuant to California Revenue and Taxation Code sections 7285.9 and 7251.1, subject to approval by a majority vote of the electorate pursuant to Article XIIIC, section 2 of the California Constitution; and

WHEREAS, California Constitution, Article XIIIC, section 2(b) requires that all general taxes which are imposed, extended or increased must be submitted to the electorate, consolidated with a regularly scheduled general election for members of the governing body of the local government, and approved by a majority vote of the qualified electors voting in the election; and

WHEREAS, pursuant to California Government Code section 53724 and Revenue and Taxation Code sections 7285.9, this Ordinance was duly approved for placement on the ballot by a minimum two-thirds (2/3) supermajority of all members of the Town Council on July 15, 2026; and

WHEREAS, the People of the Town desire add Title II, Chapter 6, "2026 Transactions and Use Tax", to the Windsor Municipal Code establishing an additional one (1) cent Sales Tax until ended by voters.

NOW, THEREFORE, THE PEOPLE OF THE TOWN OF WINDSOR DO HEREBY ORDAIN AS FOLLOWS:

Section 1. Recitals. The above Recitals are true and correct and are incorporated herein by reference.

Section 2. Addition of Title II, Chapter 6. Chapter 2-6, 2026 Transactions and Use Tax, is hereby added to the Windsor Municipal Code to read as set forth in Attachment "1", attached hereto and incorporated herein by reference.

Section 3. Approval by the Voters. Pursuant to California Elections Code section 9217, this Ordinance shall be deemed adopted and take effect only if approved by a majority of the eligible voters of the Town of Windsor voting on the measure to enact this Ordinance at the General Municipal Election of November 3, 2026.

Section 4. Authorization for Sales Tax. This Ordinance adopts 1% Transactions and Use Tax ("Sales Tax"). The Town is authorized to enact a 1% Sales Tax pursuant to Revenue and Taxation Code sections 7251.1 and 7285.9.

Section 5. Adjustment of Appropriations Limit. Pursuant to Article XIIIB of the Constitution of the State of California and applicable laws, the appropriations limit for the Town is hereby increased by the aggregate sum authorized to be levied by this tax for fiscal year 2026-27 and each year thereafter.

Section 6. Severability. If any provision of this Ordinance or the application thereof to any person or circumstance is held invalid, the remainder of the Ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

Section 7. Effective date. This ordinance relates to the levying and collecting of the Town transactions and use taxes and shall take effect immediately.

Section 8. Compliance with the California Environmental Quality Act. The approval of this Ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq.,

Full Text of Measure I (Continued)

"CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). The transactions and use tax authorized by this Ordinance is a general tax that can be used for any legitimate governmental purpose; it is not a commitment to any particular action. Accordingly, under CEQA Guidelines section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have either such effect, the Town would undertake the required CEQA review for that particular project a the earliest feasible time.

This ordinance will be in effect if approved by the voters.

Attachment:

- **Attachment 1 - 2026 Transactions and Use Tax**

Attachment 1

Chapter. 2-6 2026 Transactions and Use Tax

2-6-100 Title

2-6-110 Operative Date

2-6-120 Purpose

2-6-130 Contract with State

2-6-140 Transactions Tax Rate

2-6-150 Place of Sale

2-6-160 Use Tax Rate

2-6-170 Adoption of Provisions of State Law

2-6-180 Limitations on Adoption of State Law and Collections of Use Taxes

2-6-190 Permit Not Required

2-6-200 Exemptions and Exclusions

2-6-210 Amendments

2-6-220 Enjoining Collection Forbidden

2-6-230 Amendments by Town Council

2-6-240. Citizens' Oversight Committee

2-6-250 Annual Independent Audit

2-6-260 Severability

2-6-270 Effective Date

2-6-280 Termination Date

2-6-100 TITLE. This ordinance shall be known as the Town of Windsor 2026 Transactions and Use Tax Ordinance. The Town of Windsor hereinafter shall be called "Town." This ordinance shall be applicable in the incorporated territory of the Town.

2-6-110 OPERATIVE DATE. "Operative Date" means the first day of the first calendar quarter commencing more than 110 days after the adoption of this ordinance. For purposes of Revenue and Taxation Code section 7265, this ordinance shall be considered adopted on the date of the election in which it is approved by the qualified voters of the Town.

2-6-120 PURPOSE. This ordinance is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

A. To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2 which authorizes the Town to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

B. To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

C. To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

D. To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this ordinance.

2-6-130 CONTRACT WITH STATE. Prior to the operative date, the Town shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the Town shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

2-6-140 TRANSACTIONS TAX RATE. For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the Town at the rate of 1% of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this ordinance.

2-6-150 PLACE OF SALE. For the purposes of this ordinance, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

2-6-160 USE TAX RATE. An excise tax is hereby imposed on the storage, use or other consumption in the Town of tangible personal property purchased from any retailer on and after the operative date of this ordinance for storage, use or other consumption in said territory at the rate of 1% of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

2-6-170 ADOPTION OF PROVISIONS OF STATE LAW. Except as otherwise provided in this ordinance and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this ordinance as though fully set forth herein.

2-6-180 LIMITATIONS ON ADOPTION OF STATE LAW AND COLLECTION OF USE TAXES. In adopting the provisions of Part 1 of

Full Text of Measure I (Continued)

Division 2 of the Revenue and Taxation Code:

A. Wherever the State of California is named or referred to as the taxing agency, the name of this Town shall be substituted therefor. However, the substitution shall not be made when:

1. The word "State" is used as a part of the title of the State Controller, State Treasurer, State Treasury, or the Constitution of the State of California;

2. The result of that substitution would require action to be taken by or against this Town or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this Ordinance.

3. In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

a. Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code, or;

b. Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

4. In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Revenue and Taxation Code.

B. The word "Town" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

1. “A retailer engaged in business in the District” shall also include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the State by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of Title 26 of the United States Code and the regulations thereunder.

2-6-190 PERMIT NOT REQUIRED. If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this ordinance.

2-6-200 EXEMPTIONS AND EXCLUSIONS.

A. There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

B. There are exempted from the computation of the amount of transactions tax the gross receipts from:

1. Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

2. Sales of property to be used outside the Town which is shipped to a point outside the Town, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

a. With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-Town address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

b. With respect to commercial vehicles, by registration to a place of business out-of-Town and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

3. The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

4. A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this ordinance.

5. For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

C. There are exempted from the use tax imposed by this ordinance, the storage, use or other consumption in this Town of tangible personal property:

1. The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

2. Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

3. If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

4. If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this ordinance.

5. For the purposes of subparagraphs (3) and (4) of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

6. Except as provided in subparagraph (7), a retailer engaged in business in the Town shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the Town or participates within the Town in making the sale of the property, including, but not limited to,

Full Text of Measure I (Continued)

soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the Town or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

7. "A retailer engaged in business in the Town" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the Town.

D. Any person subject to use tax under this ordinance may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

2-6-210 AMENDMENTS. All amendments subsequent to the effective date of this ordinance to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, shall automatically become a part of this ordinance, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this ordinance.

2-6-220 ENJOINING COLLECTION FORBIDDEN. No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the Town, or against any officer of the State or the Town, to prevent or enjoin the collection under this ordinance, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

2-6-230 AMENDMENTS BY TOWN COUNCIL. Chapter 2-6 of the Windsor Municipal Code may be repealed or amended by the City Council without a vote of the People. However, as required by Article XIII C of the California Constitution, voter approval is required for any amendment of any provision that would increase the tax rate, revise the methodology for calculating the tax such that a tax increase would result, or impose the tax on transactions and uses not previously subject to the

tax (unless such amendment occurs automatically by operation of California law). The People of the Town of Windsor affirm that the following actions shall not constitute an increase of the rate of a tax:

A. The restoration of the rate of the tax to a rate that is no higher than that set by this Ordinance if the City Council has acted to reduce the rate of the tax; and

B. The collection of the tax imposed by this Ordinance, even if the City had for some period of time failed to collect the tax.

2-6-240 CITIZENS' OVERSIGHT COMMISSION. Prior to the Operative Date of this ordinance, the Town Council shall establish and appoint an independent Citizens' Oversight Commission. The purpose of the Committee shall be to review and report on the revenue and expenditure of funds collected under this ordinance to ensure compliance with the public safety, infrastructure, and local service priorities approved by voters.

2-6-250 ANNUAL INDEPENDENT AUDIT. The Town's independent external auditors shall prepare an annual audit report on the revenues generated by this tax and the expenditures of those funds. This audit report shall be presented publicly to the Town Council and made available to the public in conjunction with the Citizens' Oversight Committee report.

2-6-260 SEVERABILITY. If any provision of this ordinance or the application thereof to any person or circumstance is held invalid, the remainder of the ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

2-6-270 EFFECTIVE DATE. This ordinance relates to the levying and collecting of the Town transactions and use taxes and shall take effect immediately.

2-6-280 TERMINATION DATE. The authority to levy the tax imposed by this ordinance shall continue in effect until ended by the voters of the Town of Windsor.